

Understanding Pricing: More Than a Number

- Definition: Price is the amount of money charged for a product/service or the value exchanged for the benefits of ownership or use.
- Importance: Pricing directly affects revenue and profit. It is the only P in the marketing mix that generates revenue; others generate costs.
- Strategic Role: Modern firms use pricing to position brands, build relationships, and capture customer value in a dynamic environment.



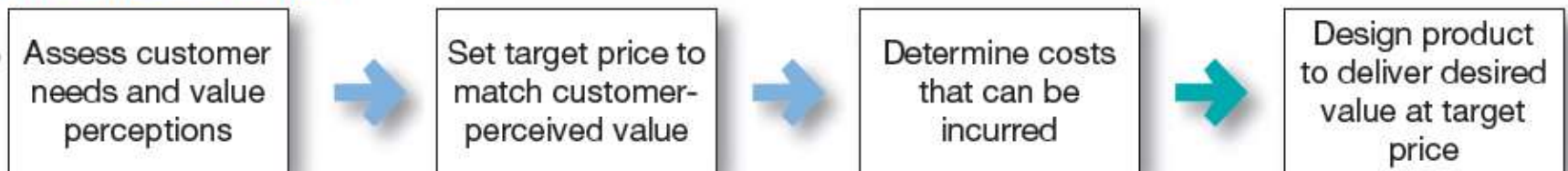
The Three Core Pricing Strategies

- 1. Customer Value–Based Pricing – Focus on buyer perceptions of value.
- 2. Cost-Based Pricing – Grounded in the company's cost structures.
- 3. Competition-Based Pricing – Aligned with competitor pricing behaviors and market conditions.
- Balance Required: Firms must juggle between value perception (ceiling), costs (floor), and competition.

Cost-based pricing



Value-based pricing



Pricing Based on Customer Perceptions

- Definition: Setting price based on the buyer's perceived value.
- Types:
 - - Good-Value Pricing: Right combo of quality/service at a fair price (e.g., Walmart's EDLP).
 - - Value-Added Pricing: Enhancing product features to justify higher prices (e.g., Philips Lighting Solutions).
- Example: Mercedes-Benz CLA offers luxury at an entry-level price, balancing aspiration and affordability.

Pricing from the Inside-Out

- Definition: Setting price based on production/distribution/selling costs plus a fair return.
- Approaches:
 - - Cost-Plus Pricing: Adding standard markup to cost.
 - - Break-Even Pricing: Setting price to break even or achieve a target return.
- Example: A food truck startup estimating variable and fixed costs to determine minimum viable price.

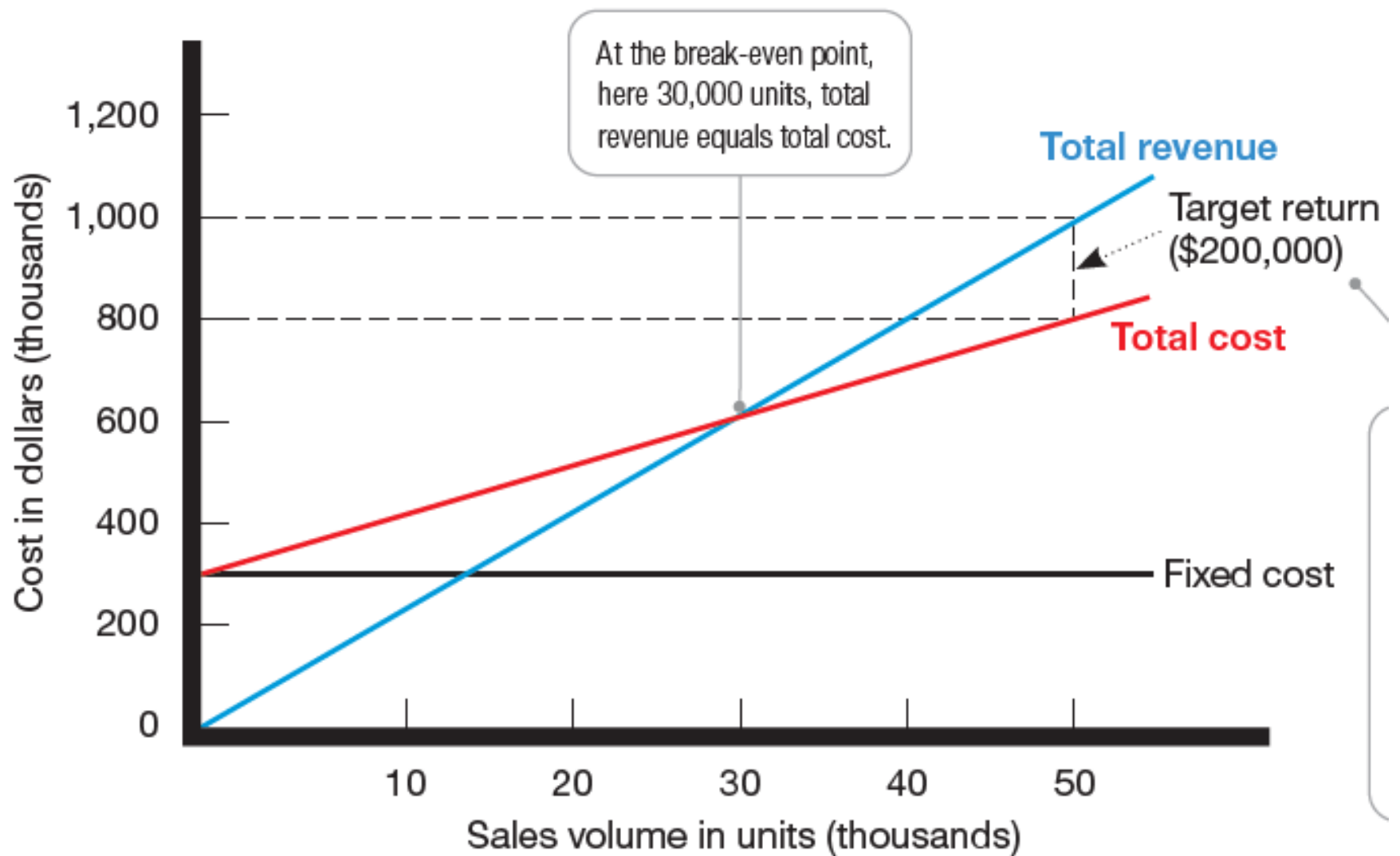
Variable cost	\$10
Fixed costs	\$300,000
Expected unit sales	50,000

Then the manufacturer's cost per toaster is given by the following:

$$\text{unit cost} = \text{variable cost} + \frac{\text{fixed cost}}{\text{unit sales}} = \$10 + \frac{\$300,000}{50,000} = \$16$$

Now suppose the manufacturer wants to earn a 20 percent markup on sales. The manufacturer's markup price is given by the following:⁷

$$\text{markup price} = \frac{\text{unit cost}}{(1 - \text{desired return on sales})} = \frac{\$16}{1 - 0.2} = \$20$$



$$\text{break-even volume} = \frac{\text{fixed cost}}{\text{price} - \text{variable cost}} = \frac{\$300,000}{\$20 - \$10} = 30,000$$

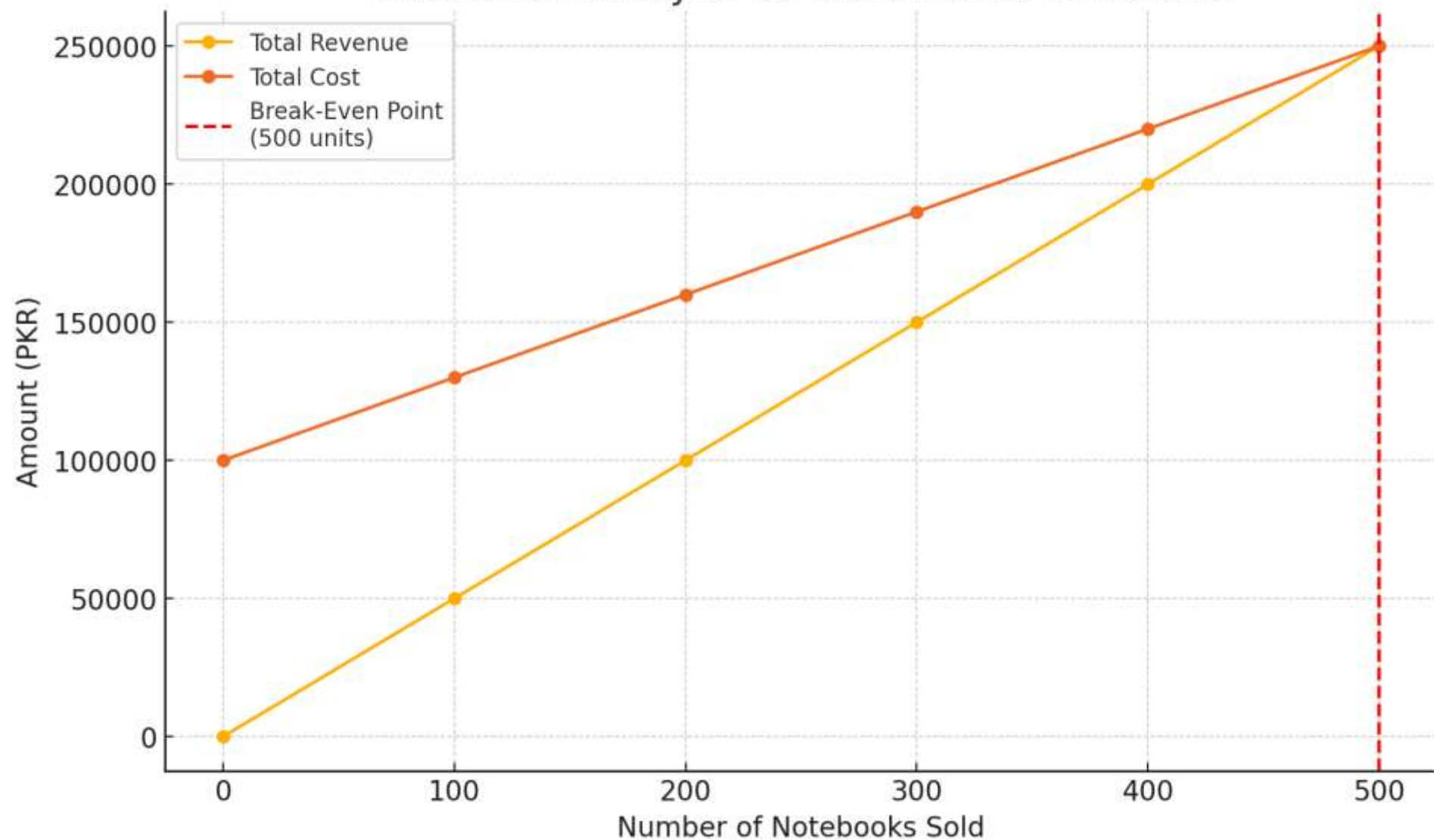
Scenario Details

- Product: Customized Notebooks
- Selling Price per Notebook: PKR 500
- Variable Cost per Notebook: PKR 300
- Fixed Costs (Monthly): PKR 100,000

Calculating the Break-Even Point

- Formula: Break-Even Quantity = Fixed Costs / (Selling Price – Variable Cost)
- Calculation:
- Break-Even Quantity = $100,000 / (500 - 300)$
- Break-Even Quantity = 500 Notebooks

Break-Even Analysis for Customized Notebooks



Practical Insights

- If Fixed Costs Increase: More units needed to break even.
- If Selling Price Drops to PKR 450: BEP becomes 667 notebooks.
- Tip: Consider cost control and value-added services.

Responding to the Market

- Definition: Setting price based on competitors' prices and offerings.
- Key Considerations:
 - - Customer perception of relative value.
 - - Positioning relative to stronger/weaker competitors.
- Case Example: Caterpillar vs. Komatsu – Justifying a higher price via added value like durability and service.

Company Strategy and Structure

- Influences:
 - - Overall marketing strategy and objectives.
 - - Product positioning and promotional tactics.
 - - Organizational responsibilities (e.g., centralized pricing teams).
- Example: A luxury brand like Rolex aligns pricing with its exclusivity and prestige-focused strategy.

External Forces Shaping Prices

- Market Demand: Understanding demand curves and price elasticity.
- Economic Environment: Adjusting for inflation, recession, or booms.
- Legal and Social Considerations: Government regulations and ethical pricing.
- Example: Post-recession pricing shifts at Nike—retaining premium pricing while emphasizing product value.

Price as a Value Communicator

- Pricing reflects brand promise and value.
- High prices can signal prestige; low prices can suggest affordability or compromise.
- Example: Whole Foods repositioning after 2008 crisis – offering value via private labels and guided shopping tours.

A Pricing War for Online Supremacy

- Walmart's EDLP vs. Amazon's dynamic pricing and convenience.
- Strategic implications: Speed, service, and ecosystem over just price cuts.
- Key lesson: Long-term success depends on superior value, not just lower price.

Smart Pricing for Competitive Advantage

- Price is not just about cost recovery—it's a tool for value capture and positioning.
- Strategic pricing integrates internal costs, perceived value, and market conditions.
- Success depends on consistent alignment between pricing and customer expectations.

Introduction to Pricing Strategies

- Pricing strategy is a method companies use to price their products or services. It involves evaluating market conditions, customer behavior, and competitive dynamics to determine optimal pricing.

Market-Skimming Pricing

- Definition: Setting a high price initially and lowering it gradually to 'skim' layers of the market.
- Example: Apple launches new iPhones at premium prices for early adopters.

Market-Penetration Pricing

- Definition: Setting a low initial price to penetrate the market quickly and deeply, attracting a large number of buyers.
- Example: Netflix's initial subscription pricing strategy in international markets.

Product Line Pricing

- Definition: Setting different prices for different products in the same product line based on cost differences, customer evaluations, and competitors' prices.
- Example: Toyota offers various trims of the Corolla with increasing features and prices.

Optional and Captive Product Pricing

- Optional-Product Pricing: Pricing optional or accessory products sold with the main product.
- Captive-Product Pricing: Pricing products that must be used with the main product.
- Example: Printer and ink cartridges (captive); airline seat upgrades (optional).

By-Product and Bundle Pricing

- By-Product Pricing: Setting a price for by-products to make the main product more competitive.
- Bundle Pricing: Offering products as a package at a reduced price.
- Example: McDonald's combo meals or software bundles like Adobe Creative Cloud.

Discount and Allowance Pricing

- Definition: Reducing prices to reward customer responses such as early payment, volume purchases, or off-season buying.
- Example: Early bird discounts, trade-in allowances on cars.

Psychological and Promotional Pricing

- Psychological Pricing: Considers the psychology of prices (e.g., \$9.99 vs. \$10.00).
- Promotional Pricing: Temporarily pricing below list price to increase short-run sales.
- Example: End-of-season clearance sales at retail stores.

Geographical, Dynamic, and International Pricing

- Geographical Pricing: Adjusting prices to geographic locations.
- Dynamic Pricing: Adjusting prices continually to meet characteristics and needs.
- International Pricing: Setting prices for global markets depending on cost, demand, and competition.
- Example: Uber surge pricing; multinational corporations adjusting prices for local economies.

Legal and Ethical Pricing Considerations

- Key Issues: Price fixing, predatory pricing, deceptive pricing, price discrimination, and resale price maintenance.
- Ethical pricing fosters trust and long-term relationships.
- Example: Retailers fined for false 'discounted' prices that were never original retail prices.